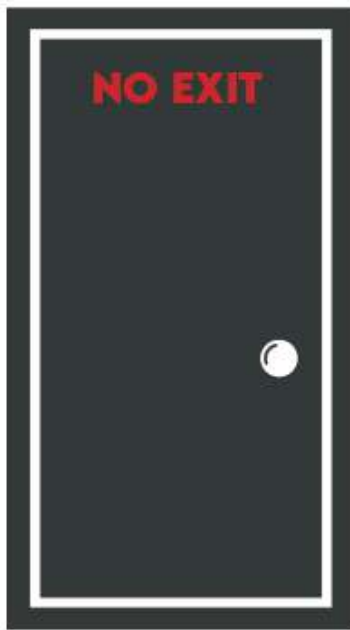


3

SQUARING OFF

As **Forward contracts** are over the counter contracts, it may at times be difficult to find a party to square-off our position before the settlement date.



Futures contracts, however, can be exited before the settlement date by simply squaring off the position in the market as they are exchange traded contracts.

EXISTENCE OF COUNTERPARTY

4

In the market of **forward contracts**, it might get difficult at times to even find a counterparty that would be interested to enter the contract with similar or same terms desired. This can be very time consuming and costly for that matter.

